Financial markets are the vast impersonal systems for organized trading in securities. Government intervention combats externalities, asymmetric information and market power in the working of financial markets through three pathways.

1. A buyer of securities requires a high level of assurance that after the transaction, money will be paid and securities will be received. This requires micro-prudential regulation of exchange infrastructure.
2. Ample disclosures need to be made available by all issuers of securities, so that financial market speculators are well informed. This requires regulation of disclosures by issuers of securities.
3. Participants in the securities markets require a high level of assurance that market abuse is absent. This requires that the regulator must enforce against market abuse. Market abuse comes in two kinds: market-based abuse, which is about exploiting market power on financial markets, and information-based abuse, which is about falsifying the information seen by speculators about firms.

A plausible financial regulatory architecture

To perform these functions, we require a group of four government agencies:

1. A *central bank*, which creates the Indian rupee.
2. A *financial regulator*, which does consumer protection in the sense described above.
3. A *resolution corporation*, a specialized bankruptcy process for the class of financial firms which make intense promises to households, such as banks and insurance companies. All other financial firms—namely those which make no promises to unsophisticated households—should utilize the ordinary bankruptcy process of the Insolvency and Bankruptcy Code (IBC).